THE TRADING FOUNDRY

TRADING FOUNDRY UNIVERSITY · PLAYBOOK 12 OF 15 · ADVANCED

Scalping With Precision

Taking many small, short-duration trades on low timeframes, exploiting micro-structure, spreads and session volatility with strict execution rules.



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Educational content only — not financial advice. Capital at risk.

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This playbook goes deeper than the video can. Watch the companion film first for the method in motion, then work through the chapters at your own pace. Scan a code with your phone camera.

COMPANION FILM

5-Minute Scalping Explained: A 4-Step Trading Plan

youtube.com/watch?v=6oFfFTEb2TI

COMPANION FILM

The 5 Minute Chart: Strategy or Fee Schedule?

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Scalping With Precision

The Complete Course

Trading Foundry University — Playbook 12 of 15

First Edition — 2026

> *This book is educational content only. It is not financial advice, and nothing in it is a recommendation to buy or sell any instrument. Every chart, number and worked example is an illustration of technique, not a signal and not a record of real results. Trading foreign exchange carries a substantial risk of loss and is not suitable for everyone. Never trade with money you cannot afford to lose.*

How to Use This Book

Let's be straight with each other before you spend a single hour on this material: scalping is the hardest format in retail trading, and it is the most expensive. Not the most glamorous-difficult, like flying a fighter jet. Difficult like being a short-order cook on a Saturday night — hundreds of small decisions, no time to think, and every mistake costs you money immediately.

This is Course 12 of 15 for a reason. It assumes you already understand market structure, risk management, position sizing and trading psychology from the earlier courses. If you skipped ahead because scalping sounded exciting, go back. We mean that kindly, but we mean it.

Read this book in order, once, without a trading platform open. The chapters build a single argument: that scalping only works when costs, pair selection, session timing, one rehearsed setup, execution mechanics and psychological limits all line up at once. Remove any one of those and the format quietly bleeds you dry. Chapter 2 — the mathematics of costs — is the spine of the whole book. If you only absorb one chapter, make it that one, because it explains why most people who try scalping lose money even when their ideas are half-decent.

Then read it a second time with a demo account or a simulator open, and do the exercises implied in each chapter: measure your actual spread at different times of day, time your own order entry, log a hundred simulated scalps and look at the distribution. Nothing in this book is a signal. Every worked example uses illustrative numbers so you can see the arithmetic; your broker, your pair and your session will produce different numbers, and part of the work is finding out what those numbers are.

Finally, hold this book loosely. It gives you frameworks to test, not promises to bank. If your own testing tells you scalping is not for you — and for most readers, honestly, it will — that conclusion is a success, not a failure. It will have cost you a few pounds and some evenings rather than a trading account.

Chapter 1 — What Scalping Is — and What It Demands

A definition worth being strict about

Scalping is the practice of taking many small, short-duration trades — held for seconds to a few tens of minutes — on low timeframes, usually the 1-minute and 5-minute charts. The scalper is not trying to catch a trend. They are trying to capture small, repeatable moves generated by the market's micro-structure: the way price behaves around obvious levels, the bursts of activity when a session opens, the mechanical push and pull of orders clustering at round numbers.

The word gets abused. Plenty of people call themselves scalpers when what they actually do is panic out of positions quickly. So let's be strict. A scalp has a defined entry trigger, a stop measured in a handful of pips, a target of similar size, and a holding period short enough that the trade is judged within the session it was opened. Ten to forty trades in a session is normal for an active scalper. Two trades a day is not scalping; that's day trading with a nervous disposition.

Because the targets are small, the whole enterprise runs on thin margins. A swing trader hunting an 80-pip move can afford to be sloppy by a pip on entry. A scalper hunting 5 pips cannot. One pip of sloppiness is 20 per cent of the target. That single ratio — cost and error as a fraction of target — drives everything in this book.

What the format actually demands

Scalping makes demands that other formats do not, and it's worth listing them bluntly, because each one is a reason not to do it.

Time, in concentrated blocks. You cannot scalp around a day job by glancing at your phone. The format requires unbroken attention for the whole session you trade — commonly two to four hours. Miss the setup by thirty seconds and it's gone.

Cheap, fast execution. You need tight spreads, low commissions, minimal slippage and a platform you can operate without thinking. Chapter 2 shows why: costs that are trivial for a swing trader are ruinous for a scalper.

One rehearsed play. High-frequency decision-making collapses if every decision is bespoke. The successful scalpers we have interviewed and studied describe the job the same way: they trade one setup, in one or two pairs, in one session, over and over. Chapter 5 is devoted to this.

Emotional durability. Thirty decisions a session means thirty chances to tilt. Losses arrive in clusters. A scalper can do everything right and still take six losers in a row before lunch, purely from variance. If that sequence makes you change your rules, the format will eat you.

Hard limits, externally enforced. Because the trade cycle is so fast, drawdowns happen fast too. A bad hour of scalping can do what a bad month of swing trading does. Daily loss limits and trade-count limits are not optional extras; they are structural, and Chapter 9 treats them that way.

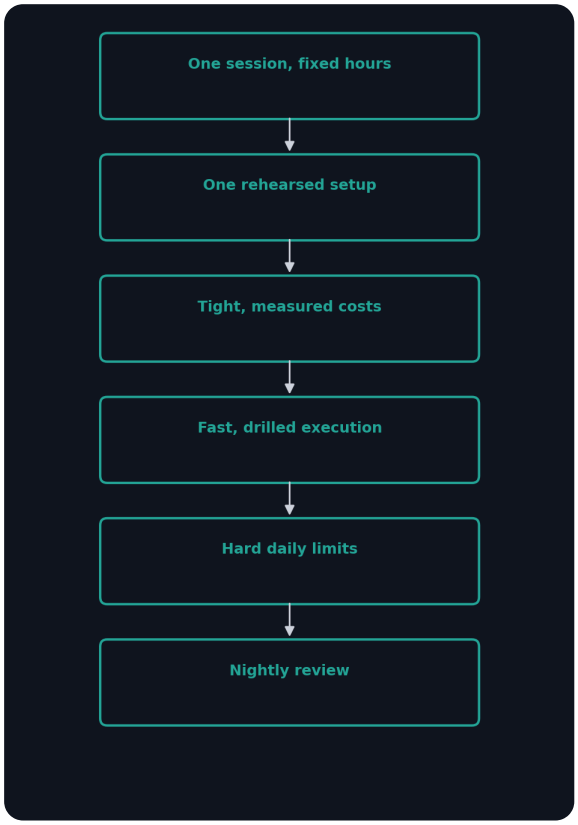


Figure. The scalper's contract: six commitments that must all hold at once. Scalping does not degrade gracefully — remove any single element and the whole format tends to become a losing proposition rather than a slightly worse one.

Who should not scalp

Here is the editorial position of this book, stated early so you can't say we buried it: most readers should not scalp, and almost no one should start their trading life scalping.

The reasons are not about intelligence. They are structural. First, costs: as Chapter 2 will show with plain arithmetic, scalping pays the highest toll per pip of edge of any format. You need a genuinely strong edge just to reach breakeven, whereas a longer-timeframe trader can survive with a mediocre one. Second, feedback: scalping generates so many trades that bad habits get reinforced hundreds of times before you notice them. Third, physiology: sustained rapid decision-making under financial pressure is genuinely fatiguing, and fatigue degrades exactly the discipline the format depends on.

Scalping suits a narrow profile: someone with proven discipline on higher timeframes, a demonstrated ability to follow rules under pressure, several free hours at a consistent time of day, access to genuinely low-cost execution, and a temperament that finds repetition calming rather than boring. If that's not you, Courses 6 through 10 cover formats with far more forgiving arithmetic.

If you're still here, good. The rest of the book assumes you want to test the format properly — on a simulator first, at minimum size after that, with the numbers doing the deciding rather than the adrenaline.

What "precision" means in the title

Precision in scalping is not about predicting price to the pip. Nobody does that. Precision means: precise knowledge of your costs, precise definition of your setup, precise execution of your orders, and precise limits on your behaviour. It is an engineering word, deliberately. The scalpers who last treat the job the way a machinist treats tolerances — everything measured, everything within spec, and the work stopped immediately when it drifts out of spec.

That's the course. Nine chapters, one argument: small targets leave no room for approximation.

One more framing before we start the arithmetic. Think of scalping not as a trading style but as a small manufacturing business. The product is a repeatable trade; the raw material is attention; the overheads are spread, commission and slippage; and the margins are thin enough that a sloppy afternoon wipes out a careful week. Nobody would run a factory without knowing their unit costs to the penny — yet people attempt scalping every day without knowing their round-trip cost to the pip. Chapter 2 fixes that first, because it has to come first.

> **CHAPTER 1 IN ONE SENTENCE:**
>
> Scalping is the high-frequency capture of small moves on low timeframes, and it demands concentrated time, cheap execution, one rehearsed setup, emotional durability and hard limits — a combination most traders should honestly conclude they don't want to supply.

Chapter 2 — The Mathematics of Costs: Spreads, Commissions and Slippage

The toll booth you drive through every trade

Every trade you take pays a toll: the spread, any commission, and whatever slippage you suffer between the price you wanted and the price you got. For a position trader that toll is a rounding error. For a scalper it is the single most important number in the business, because the toll is fixed in pips while the target is tiny in pips.

Let's do the arithmetic in the open. These numbers are illustrative — plucked to make the sums clean, not quoted from any broker — but they are in the realistic range for a retail account on a major pair.

Suppose EUR/USD trades with a 0.6-pip spread on a raw-spread account, plus commission equivalent to about 0.7 pips per round turn. Total cost: roughly 1.3 pips every time you complete a trade, before any slippage. Now compare two traders using identical stops-equal-targets:

- A swing trader targeting 65 pips with a 65-pip stop pays 1.3 pips of cost. That's 2 per cent of the target.
- A scalper targeting 5 pips with a 5-pip stop pays the same 1.3 pips. That's 26 per cent of the target.

Same broker, same pair, same toll — thirteen times the burden, purely because the target shrank. This is what we mean when we say scalping is the most expensive format per pip of edge. The market charges everyone the same entry fee; the scalper just buys a much cheaper ticket with it.

What costs do to your required win rate

Now push the arithmetic one step further, because this is where it gets properly uncomfortable.

With no costs, a strategy that risks 5 pips to make 5 pips breaks even at a 50 per cent win rate. Add the 1.3-pip toll and the picture changes. Your winners now net 5 − 1.3 = 3.7 pips. Your losers now cost 5 + 1.3 = 6.3 pips. The breakeven win rate becomes 6.3 ÷ (6.3 + 3.7) = 63 per cent.

Sit with that. Costs alone moved the bar from 50 per cent to 63 per cent. To make any money at all, this illustrative scalper must win roughly two trades in three — before a single pip of

slippage, before a single fat-fingered entry, before one session of tilt. And 63 per cent is merely breakeven; a worthwhile edge needs more still.

Run the same sums with a 10-pip target and stop: winners net 8.7, losers cost 11.3, breakeven win rate 56.5 per cent. At 20 pips: 52.9 per cent. The toll never changes; the target dilutes it. This is why "just take smaller, quicker profits" — the beginner's instinct — is precisely backwards. Smaller targets don't reduce risk; they concentrate cost.

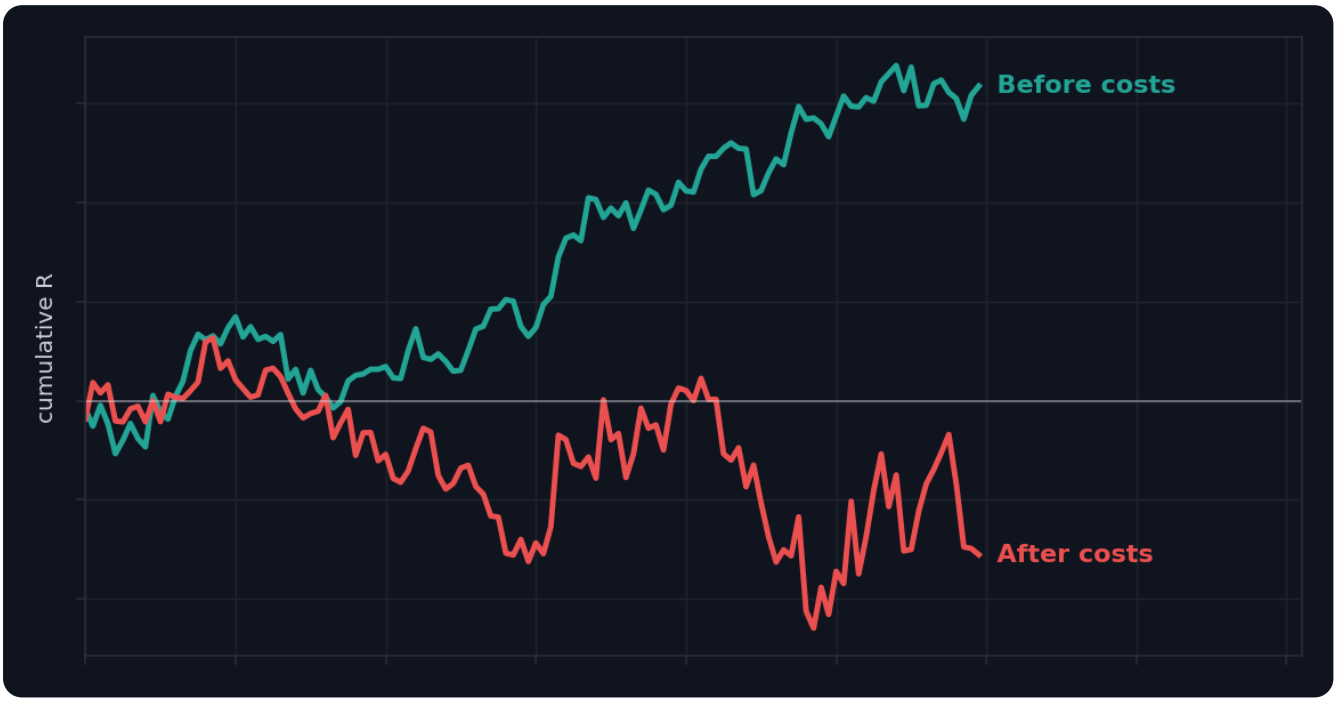


Figure. Two equity curves from the same set of illustrative trades: one gross, one after a fixed per-trade toll. On small targets the gap between them is not a haircut, it is the difference between a rising line and a falling one — the same trading, separated only by costs.

Slippage: the cost nobody quotes you

Spread and commission are printed on your broker's website. Slippage is not, and for a scalper it is often the largest cost of the three at exactly the wrong moments.

Slippage is the gap between the price you clicked and the price you were filled. It appears when the market is moving fast — session opens, news releases, stop runs — which, awkwardly, are precisely the conditions that create scalping opportunities. A market order into a fast market might fill half a pip or several pips away from the quote. On a 5-pip target, one pip of slippage on entry and half a pip on exit takes your 3.7-pip net winner down to 2.2 pips, and the breakeven arithmetic deteriorates again.

Three practical consequences. First, measure it: keep a log of intended price versus filled price for every trade, because your real cost base is unknowable without it. Second, prefer limit orders where your setup allows, since a limit order caps entry slippage at zero — at the price of sometimes missing the trade, a trade-off Chapter 6 explores. Third, treat news releases as a cost event, not an opportunity: spreads widen dramatically around scheduled

announcements, sometimes to many multiples of normal, and a 4-pip spread on a 5-pip target is not a trade, it's a donation.

The cost audit every would-be scalper owes themselves

Before you scalp a single unit of real money, do this piece of homework. Open a demo or small live account with the broker you intend to use. At the times of day you intend to trade, record the actual spread on your chosen pair every fifteen minutes for two weeks. Note the commission per round turn in pip terms at your intended size. Then write one number on a card: your total round-trip cost in pips, worst realistic case.

Now hold that card against your intended target. If cost exceeds about 20 per cent of your target, the arithmetic in this chapter says your required win rate is climbing into territory very few strategies can sustain, and you should either widen the target, change the pair, change the broker, or — the honest option — change the format.

We'd rather you did this audit and walked away than skipped it and found out the same thing over six expensive months. The market will still be there if the numbers ever improve. That's not pessimism; it's the arithmetic, and arithmetic doesn't care how keen you are.

> **CHAPTER 2 IN ONE SENTENCE:**
>
> Because the per-trade toll of spread, commission and slippage is fixed while a scalper's target is tiny, costs consume a huge fraction of every trade and push the breakeven win rate far above 50 per cent — making cost measurement, not entry technique, the first and most brutal filter on whether scalping can work for you at all.

Chapter 3 — Choosing Pairs and Sessions for Scalping

The shortlist writes itself

Given Chapter 2, pair selection for scalping is barely a choice at all. You need the tightest spreads, the deepest liquidity and the most reliable intraday movement available — and that shortlist is short. EUR/USD sits at the top for most retail traders: typically the tightest spread of any pair and enormous liquidity. GBP/USD offers more movement per hour at a slightly wider spread. USD/JPY combines tight pricing with strong activity in both the Asian and New York sessions. Beyond those three, the case weakens fast.

The test is mechanical. Take the typical spread of a candidate pair during your intended session and divide it by the pair's typical short-term movement in that session — say, the average range of a 5-minute bar. You want the market to move many multiples of its own spread within your holding period. A pair that moves 3 pips per 5-minute bar against a 0.6-pip spread gives you room to work. An exotic cross that moves 6 pips per bar against a 4-pip spread does not, however dramatic its chart looks. Exotic pairs are for scalpers what motorway service stations are for coffee: technically available, priced accordingly.

One pair is enough. Two is defensible if their active hours differ. Watching five pairs on 1-minute charts is not diversification; it's guaranteeing you're half-focused on everything.

Sessions: when the market actually pays attention

The forex day has a pulse. The Asian session is typically the quietest for European pairs — narrow ranges, thinner participation, and on some accounts wider spreads. London's open brings the day's first genuine surge of volume and often sets the tone. New York's open brings the second. And the London–New York overlap — roughly early-to-mid afternoon UK time — is when both major centres are trading at once, which historically tends to mean the deepest liquidity and the most consistent movement of the day.

For a scalper, session choice is really a cost-and-fuel decision. Tight spreads come from deep liquidity; worthwhile moves come from active participation; both cluster in the same few hours. Scalping a dead session means paying full toll for a market going nowhere. Scalping the busy hours means the same toll buys you far more opportunity per hour.

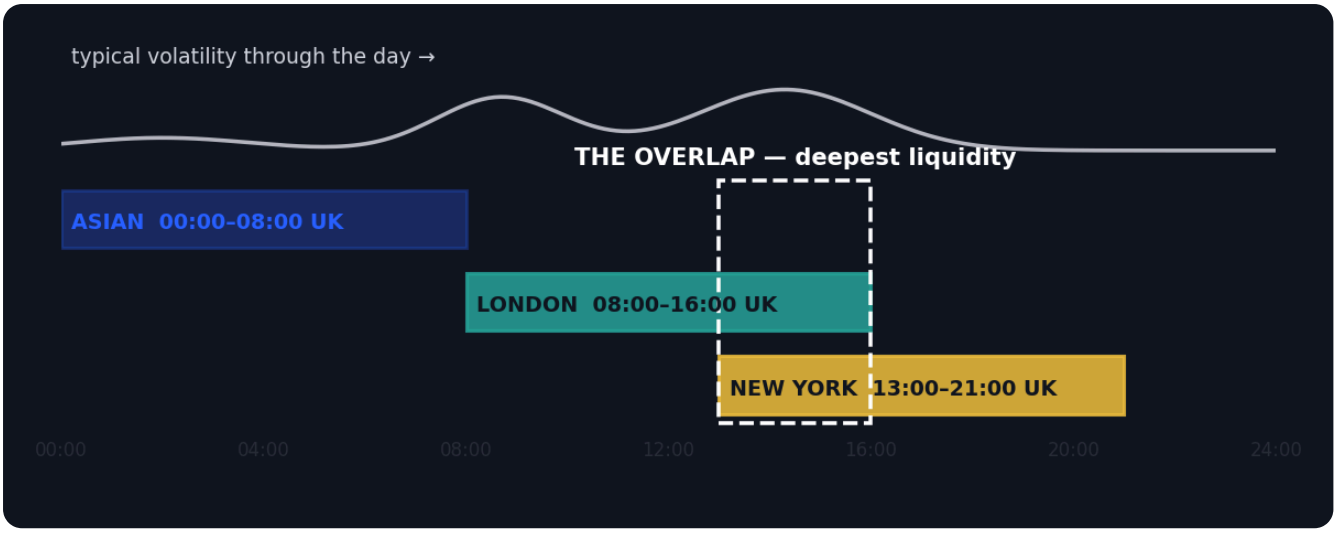


Figure. The 24-hour forex clock with the London–New York overlap highlighted. For most scalping approaches on the major pairs, these few hours combine the deepest liquidity, the tightest typical spreads and the most consistent movement — the cheapest fuel the market sells all day.

There's a discipline point hiding here too. Choosing a session means choosing fixed working hours — and refusing to trade outside them. The scalper who "just has a quick look" at 10pm is trading a thinner, more expensive market with a tired brain, which is three separate mistakes wearing one dressing gown.

Know your session's personality — with your own data

Sessions don't just differ in volume; they differ in character, and your setup will not perform equally across them. A momentum-continuation play might thrive in London's opening drive and drown in the pre-London drift. A fade-the-extreme play might do the opposite. You cannot take this on trust from a book — ours included — because it varies by pair, by setup and by era. You have to measure it.

The method is simple and tedious, which is the correct combination. Log every simulated trade with a timestamp. After a hundred or two, break your results out by hour of day. Most traders who do this honestly find their results are not evenly spread: a few hours carry the performance, several hours are noise, and one or two are actively destructive. The professional response is to stop trading the destructive hours entirely. Every trade you don't take in a bad hour is cost avoided and attention conserved — a free improvement, which markets rarely offer.

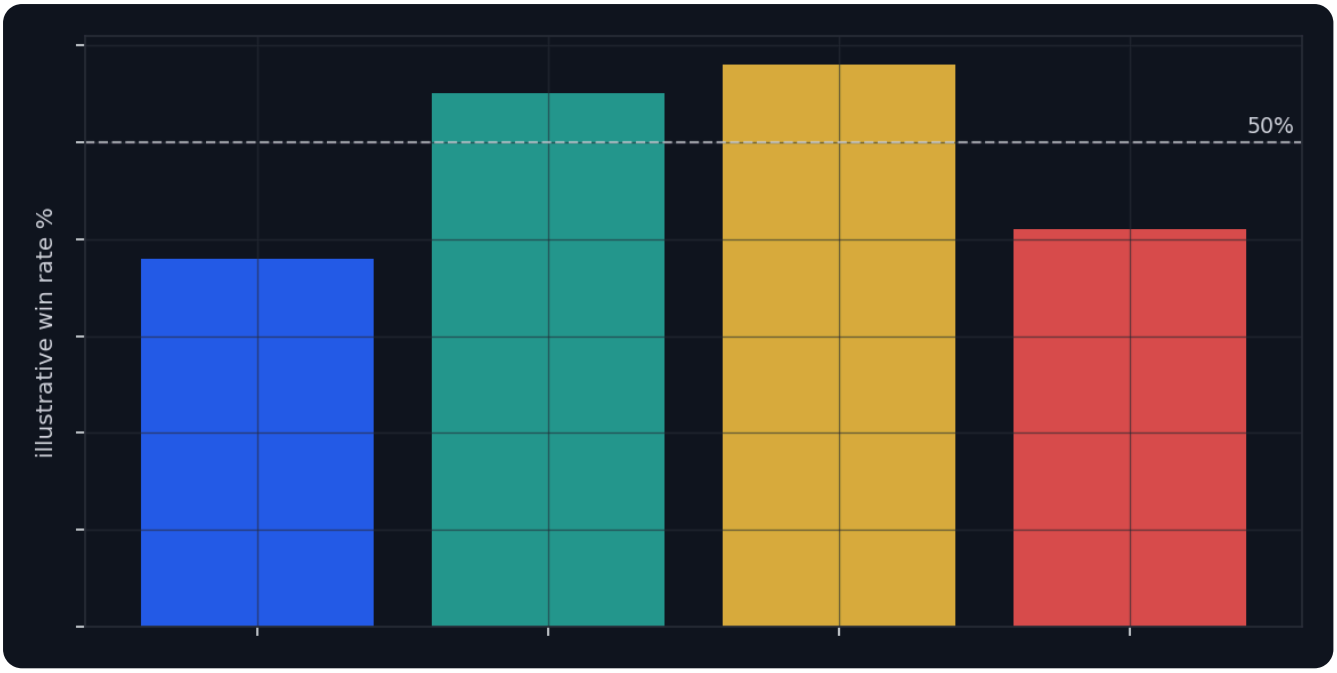


Figure. An illustrative breakdown of one trader's simulated results by session. The point is not these particular bars — it's that results are almost never uniform across the day, and the cheapest edge available is simply declining to trade the hours where your setup demonstrably doesn't work.

The calendar is part of the session

One final layer: scheduled news. Major releases — central bank decisions, inflation prints, US employment data — sit inside your chosen session like speed bumps inside a bus lane. Around them, spreads widen sharply, slippage explodes, and price can jump straight through stops. Whatever your view on news trading as a specialism, for a small-target scalper the release window is a cost catastrophe: the toll can briefly exceed the entire target.

So the rule set writes itself. Check the calendar before every session. Mark the high-impact releases relevant to your pair. Be flat before them — several minutes before, since spreads often widen in anticipation — and wait after them until the spread has demonstrably normalised, not just until the candle stops being exciting. This isn't caution for its own sake; it's Chapter 2 applied to a clock.

Put together, your trading universe should now be almost embarrassingly narrow: one pair, perhaps two; one session, defined to the minute; a calendar of hours you never trade. That narrowness is not a limitation. It is the point — every variable you remove is a decision you don't have to get right thirty times a day.

CHAPTER 3 IN ONE SENTENCE:

Scalp only the tightest-spread, deepest-liquidity major pairs during the busiest hours — for most readers the London session and the London–New York overlap — verify with your own hour-by-hour logs which windows actually suit your setup, and stand aside completely around scheduled news, because session choice is really cost control with a clock on it.

Chapter 4 — Micro Market Structure on the 1- and 5-Minute Charts

Structure is fractal — but noisier down here

The good news first: everything you learned about market structure in the earlier courses still applies on the 1- and 5-minute charts. Price still moves in swings. Uptrends still print higher highs and higher lows; downtrends the mirror image; a change of character still announces itself when that sequence breaks. The grammar is identical.

The bad news: the signal-to-noise ratio collapses. On a daily chart, a swing high represents thousands of participants over many hours. On a 1-minute chart, a "swing high" might be one bank's order, one algorithm's hiccup, one thin patch of liquidity. Structure down here is real but flickery — like reading the same language in someone's hurried handwriting. So the micro-structure scalper follows two compensating rules: demand more confirmation per signal than you would on higher timeframes, and let the 5-minute chart arbitrate what the 1-minute chart claims. The 5-minute chart tells you the story; the 1-minute chart times your entry within it. A 1-minute change of character *against* the 5-minute trend is usually noise; the same pattern *with* the 5-minute trend is often the pullback ending — which is precisely the moment a continuation scalper wants.



Figure. A clean sequence of higher highs and higher lows as it appears on an intraday chart. On the 1-minute timeframe this same grammar holds but with far more noise — which is why scalpers demand extra confirmation and let the 5-minute chart settle arguments the 1-minute chart starts.

The levels that matter when minutes matter

Forget, for scalping purposes, the grand weekly trendlines. The levels that organise intraday price behaviour are humbler and nearer: the previous session's high and low, the current day's opening price, the overnight (Asian) range on European pairs, round numbers ending in 00 and 50, and any level the market has already fought over twice today. These are the places where resting orders cluster, because they are the places every intraday participant can see.

What makes a level useful to a scalper is not mysticism; it's crowding. When many participants place stops and entries around the same obvious price, that neighbourhood becomes predictable in a specific, limited way: price tends to accelerate as it approaches (stops being triggered), often overshoots slightly (the cluster being cleared), and then reveals its hand — either continuing with genuine follow-through or snapping back once the forced orders are exhausted.

Mark these levels before the session, not during it. A scalper drawing lines mid-session is a scalper not watching price. Five or six levels is plenty; if everything is marked, nothing is.

Stop runs and liquidity sweeps: the micro-structure event

If one repeating event defines the low-timeframe landscape, it's this: price spikes through an obvious level — yesterday's low, the overnight low, a round number — triggers the stops resting there, and then reverses sharply once they're consumed. Traders call it a stop run, a sweep, or a liquidity grab. Whatever the name, the mechanics are ordinary: a cluster of stops is a pool of guaranteed orders, and the market is rather good at finding guaranteed orders.

For the scalper this event is double-edged. On the wrong side, it's how you get stopped out at the extreme tick of the move — you placed your stop where everyone else did, just beyond the obvious level, and the market collected the lot before going your way. On the right side, the *failure* of a breakout is information: a spike through a level that immediately collapses back tells you the push had no real interest behind it, only stop-fed fuel.



Figure. A stop run in miniature: price pierces an obvious level where stops cluster, triggers them, and snaps back once that fuel is spent. For a scalper this cuts both ways — it is how tight stops at obvious spots get collected, and also how a failed break signals that a move had no genuine interest behind it.

Two working conclusions, both testable on a simulator. First, place stops beyond where the crowd's stops sit, not alongside them — a pip or two past the sweep zone rather than a pip inside it — and accept the slightly worse risk-reward as insurance. Second, treat a swept-and-reclaimed level as meaningful: when price knifes below an obvious low and closes back above it within a bar or two, that reclaim is one of the more honest signals the low timeframes produce. Whether you build your setup around it is Chapter 5's question.

Reading the tape without drowning in it

A word on what to watch, because the 1-minute chart tempts you to watch everything. The scalper's read of micro-structure comes down to three live questions. Where are we relative to today's marked levels? What is the 5-minute swing sequence doing — trending, ranging, or breaking character? And how is price *behaving* — are bars overlapping and hesitant, or directional and clean?

That behavioural read deserves respect. Momentum quality is visible: a genuine push prints full-bodied bars that close near their extremes and pull back shallowly; an exhausted push prints shrinking bars with long wicks that overlap each other. You will not find this in an indicator setting; you find it by watching one pair, in one session, for weeks, until abnormal behaviour feels abnormal. That trained eye — boring to acquire, impossible to shortcut — is the actual skill hiding behind the phrase "micro market structure."

CHAPTER 4 IN ONE SENTENCE:

Market structure on the 1- and 5-minute charts follows the same grammar as higher timeframes but with far more noise, so the scalper leans on a handful of pre-marked intraday levels, lets the 5-minute chart arbitrate the 1-minute chart's claims, and learns to read stop runs and momentum quality — the micro-events that repeatedly organise price at this scale.

Chapter 5 — The One-Setup Principle: Mastering a Single Play

Why one, not five

Here is the principle this chapter exists to hammer home: a scalper should trade exactly one setup until they have mastered it, and possibly forever.

The reasoning is not romantic; it's operational. Chapter 7 will show that decision quality collapses as decision load rises. A trader running five setups on a 1-minute chart faces a compound question every bar — is this setup A, or B, or nearly-C? — and "nearly" is where accounts go to die. A trader running one setup faces a binary: is this my play, yes or no? Binary questions can be answered in two seconds with high consistency. Essay questions cannot.

There's a statistical reason too. Edges are validated by sample size. One setup traded 300 times gives you a sample you can actually learn from — you'll know its win rate, its losing streaks, its bad hours. Five setups traded 60 times each give you five piles of statistical fog. And there's a psychological reason: a setup you've seen a thousand times triggers recognition rather than deliberation, and under time pressure, recognition is the only mode that executes cleanly. Chess players call this pattern recognition; scalpers who last call it Tuesday.

So the question isn't whether to specialise. It's which single play to specialise in — and that answer must come from your own testing, not from this or any book.

The anatomy of a complete setup

A setup is not "I buy pullbacks." A setup fit for high-frequency execution specifies, in writing, every one of the following:

1. **Context** — what must be true before you're even interested. For example: 5-minute chart in a defined trend, inside your session hours, no news within twenty minutes, spread at or below your normal.
2. **Location** — where price must be. At or reacting to one of your pre-marked levels, not floating in the middle of nowhere.
3. **Trigger** — the exact, observable event that converts interest into an order. A specific bar close, a reclaim of a level, a break of a micro swing point. If two honest people watching your screen could disagree about whether the trigger happened, it isn't defined tightly enough.

4. **Entry, stop and target** — the order type you use, where the stop goes relative to structure (beyond the sweep zone, per Chapter 4), and where the target sits relative to your costs (clearing the Chapter 2 arithmetic).
5. **Invalidation and management** — what makes you abandon the trade before the stop, and what you do — if anything — while it's open. For many scalps the honest answer to management is "nothing: it hits target or stop," and there's a lot to be said for that.

Write yours on one card. If it doesn't fit on a card, it isn't one setup.

A worked illustration — not a recommendation

To make this concrete, here is one classic scalping play, described purely as an illustration of the anatomy above. It is not a signal, not a recommendation, and not claimed to be profitable; it's a specimen on a slide.

Call it the *break-and-retest continuation*. Context: 5-minute chart trending up — higher highs, higher lows — during the London session, no imminent news. Location: price breaks above a marked intraday level with a strong, full-bodied 1-minute close. Trigger: price returns to the broken level within the next handful of bars, holds it — wicks below are tolerated, closes below are not — and prints a bar closing back in the trend's direction. Entry: at that close, or a limit at the level. Stop: beyond the retest low plus a pip or two of sweep insurance. Target: the prior high or a fixed multiple of the stop, whichever your testing supports — checked against your cost card so the toll stays under a fifth of the target. Invalidation: a 1-minute close back below the level before entry means no trade, full stop.



Figure. The anatomy of a break-and-retest continuation, shown purely as an illustration of how a complete setup is specified: a level breaks, price returns to test it, holds, and continues. The value is not this pattern in particular but the completeness of its definition — context, location, trigger, stop and target all written down in advance.

Whether *this* play carries an edge for you, on your pair, in your session, at your costs, is exactly what simulation exists to determine. The anatomy is the lesson; the pattern is just the model wearing the clothes.

Mastery: reps, then variance, then judgement

Mastering a single play proceeds in three stages, and skipping one shows up later as losses.

Reps. Trade the setup on a simulator or replay tool until you've logged at least a couple of hundred instances. You're not trying to make imaginary money; you're building the recognition reflex and the statistical file — win rate, average winner and loser after costs, longest losing streak, performance by hour.

Variance immersion. Study your own losing streaks until they bore you. If your setup wins six times in ten, streaks of four and five losers are a routine feature of the arithmetic, not evidence of breakage. Traders abandon good setups in drawdowns they should have expected; the antidote is having already seen those drawdowns on paper.

Judgement — later, and carefully. Only after hundreds of reps does discretion earn a place: the veteran's sense that this retest looks laboured, that this session is dead. Discretion layered onto mastery is refinement. Discretion layered onto inexperience is just impulse with a posh accent.

One setup. Written down. Rehearsed past boredom into reflex. Everything else in scalping is built on top of that, and nothing in scalping survives without it.

CHAPTER 5 IN ONE SENTENCE:

Because high-frequency trading only works when decisions are binary and samples are large, the scalper's core discipline is to define one complete setup — context, location, trigger, orders, invalidation — on a single card, rehearse it by the hundreds until recognition replaces deliberation, and resist the diversification instinct that quietly destroys low-timeframe traders.

Chapter 6 — Execution Skills: Speed, Orders and Platform Setup

Execution is a physical skill

Everything to this point has been thinking. This chapter is about hands. Scalping is one of the few corners of trading where mechanical execution — how fast and how accurately you translate a decision into a working order — materially affects results. When your target is 5 pips, three seconds of fumbling can be the trade. A swing trader who mis-clicks loses a moment; a scalper who mis-clicks loses the edge.

So treat execution as a physical skill, learned the way physical skills are learned: drilled, separately from live decisions, until it's automatic. On a demo account, practise the full cycle — order in, stop attached, target attached, order out — until you can do it without looking at the mouse, in a couple of seconds, every time. Practise the emergency exit — flattening a position instantly — until it's reflexive. It sounds beneath a serious trader's dignity. It is not. Under pressure, you don't rise to the occasion; you sink to the level of your drilling, and the market applies pressure precisely when fumbling is most expensive.

Choosing your weapon: market, limit and stop orders

Each order type buys you one certainty by selling you another, and a scalper should be able to recite the trade-offs cold.

A **market order** guarantees you're in but not at what price. In fast conditions — exactly when scalps trigger — slippage on market orders is where the Chapter 2 arithmetic quietly worsens. A **limit order** guarantees your price but not your fill: place it at the retest level and you'll either enter at your chosen price or miss the trade entirely. A **stop-entry order** triggers with momentum — useful for breakout-style plays — but combines the drawbacks of both in thin moments: it fires into fast markets, where fills are worst.

Which to use is a property of your setup, decided in advance, not per trade. Pullback-style plays naturally suit limit entries: you know the price you want before the market gets there. Momentum plays force a choice between stop-entries (with slippage) and waiting for a confirming close then entering at market (with lateness). Both can be legitimate; your logs — intended price versus filled price, trade by trade — will tell you what each choice actually costs. What is *not* legitimate is deciding in the moment, because in-the-moment order selection is just hesitation with a menu.

The stop-loss deserves its own sentence: it is attached to the order, in the platform, at entry — never "mental." A mental stop on a 1-minute chart is a plan to negotiate with yourself during a losing trade, and Chapter 8 explains how those negotiations end.

The platform: a cockpit, not a cinema

Now the screen itself. The guiding principle: your platform is a cockpit, and everything on it must either inform a decision or execute one. Everything else is decoration, and decoration costs attention.

The working layout for most one-setup scalpers is spare: the 5-minute chart for context and the 1-minute chart for triggers, side by side; your pre-marked levels; at most one supporting tool if your setup genuinely uses it; a one-click trading panel with a pre-set default size; and a visible spread readout, because Chapter 3 taught you to stand down when it widens. That's the lot. No news feeds, no chat rooms, no seven-indicator sediment accumulated from old experiments, no second monitor of pairs you don't trade. Every extra object on screen is a tax on the two-second recognition your setup depends on.



Figure. Two versions of the same workspace: one stripped to the objects that inform or execute a decision, one silted up with indicators and feeds. For a scalper the difference is not aesthetic — recognition speed is the edge, and every extra object on screen taxes it.

Configure the safety rails while you're calm. Default position size locked to your risk rules, so the moment never decides your size. Stop and target attached automatically to every entry. One-click closing enabled and rehearsed. If your platform supports a daily loss cut-off, set it — an external limit that doesn't renegotiate is worth ten resolutions that do.

Latency, hardware and the honest limits of retail speed

A brief word on the arms race, mostly to talk you out of it. Yes, execution speed has a technology component: a stable connection and a responsive platform matter, and if your setup is genuinely latency-sensitive, a VPS near your broker's server is a reasonable consideration. But be honest about the league you're playing in. Retail scalping does not compete with high-frequency firms on speed, and it doesn't need to — your edge, if you

have one, lives in setup selection and cost discipline measured over hundreds of trades, not in milliseconds.

The practical checklist is humbler. A wired connection rather than hotel Wi-Fi. A platform that doesn't freeze when the market gets busy — test it during a news release *while flat* and watch how it behaves. A broker whose fills you've measured, not just read about. And a rehearsed answer to the ugly question: what do you do if the platform dies with a position open? (The answer involves your broker's phone number and your account number written down on paper, and it's a poor time to be looking them up.)

Speed, in the end, is mostly subtraction: fewer objects on screen, fewer choices per trade, fewer motions per order. The fastest scalpers aren't quick; they've simply removed everything that used to slow them down.

CHAPTER 6 IN ONE SENTENCE:

Execution is a drilled physical skill — order types chosen in advance to suit the setup, stops attached at entry rather than held in the head, a platform stripped to a cockpit with pre-set sizes and rehearsed emergency exits — because on 5-pip targets, seconds of fumbling and pips of slippage are not inconvenience but the edge itself leaking away.

Chapter 7 — Managing a High Frequency of Decisions

The budget nobody puts in their trading plan

Every trading plan specifies a risk budget. Almost none specifies an attention budget — and for a scalper, attention is the scarcer currency. The research on human decision-making points one consistent direction: decision quality is not a fixed trait but a depletable resource. Sustained rapid choices under pressure degrade accuracy, patience and impulse control, and the person depleting rarely notices in real time. A scalper making thirty entry-exit decisions plus a few hundred "is this my setup?" judgements per session is running one of the most cognitively expensive jobs in retail trading.

The consequences are visible in any honest trade log. Early-session discipline, late-session sloppiness. Rules followed for two hours, bent in the third. The classic shape — measured in your own records by hour within the session, exactly as Chapter 3 measured hours of the day — is a performance curve that sags as the session ages, independent of what the market is doing.

The professional response is to treat attention like risk: budget it, spend it deliberately, and stop when it's gone. Concretely: cap your session length before it starts — for most people, two focused hours beats four ragged ones — and cap your trade count as well, because each trade spends attention whether it wins or loses. When either budget is spent, the session is over, even if the market looks wonderful. *Especially* if the market looks wonderful.

Automate the choices, keep the judgement

The deepest lever for managing decision load is not working harder; it's having fewer live decisions. Go through your process and sort every choice into two piles: decisions that can be made once, in advance, and decisions that genuinely must be made in the moment.

The first pile is bigger than you think. Which pair — decided. Which session — decided. Position size — locked into the platform. Stop distance rule, target rule, order type — decided, per Chapters 5 and 6. News blackout windows — decided. Daily limits — decided. Each of these, made once while calm, is a decision you never have to make thirty times while adrenalised.

What remains in the second pile should be startlingly small: *is this my setup, yes or no?* and *is anything abnormal — spread, speed, my own state — that says stand down?* Two live questions, both binary. That's a decision load a human can sustain for a couple of hours. Twelve simultaneous open-ended questions is not; that's the load under which traders start making choices they can't later explain.

This is also the real argument for checklists, which sound bureaucratic until you understand what they're for. A checklist isn't there because you don't know your setup; it's there because under fatigue, recognition gets greedy — you start seeing your setup in patterns that merely rhyme with it. Running the card's conditions takes five seconds and converts "that looks about right" into a verified yes or a disqualifying no.

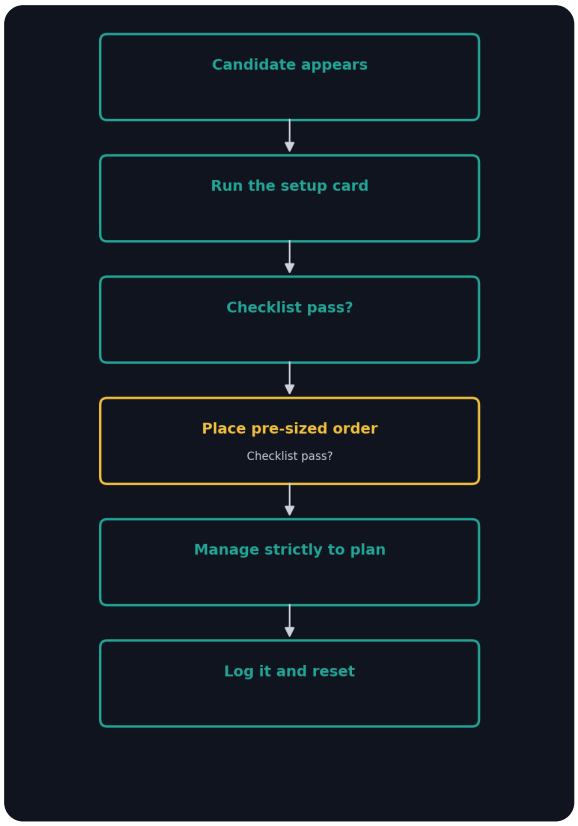


Figure. One decision loop, run identically for every trade. The single genuine decision point is the checklist gate — everything before it is pattern recognition and everything after it is pre-decided mechanics, which is what keeps thirty repetitions a session from becoming thirty opportunities to improvise.

Rhythm: the difference between trading and reacting

Watch a skilled scalper work and the striking thing isn't speed; it's rhythm. Candidate, check, act or pass, log, reset. The same loop, at the same tempo, whether the last trade won or lost. Then watch a struggling one: bursts of frantic clicking, then paralysis, tempo dictated entirely by the last outcome. The first trader is running a process; the second is being run by a tape.

Rhythm is buildable. Between trades, have a defined reset: log the trade in one line, sit back, breathe once, re-scan your levels. Ten seconds, deliberately identical every time — the low-timeframe equivalent of a tennis player's between-points routine, and it serves the same function: it makes each point start from neutral. Refuse to let outcomes set your tempo. The market delivers events in clusters; your job is to respond to each on its merits, at your pace, not to match the market's excitement with your own.

And build in breaks. A five-minute stand-up-and-look-out-the-window every forty-five minutes or so costs you a handful of candidate setups and buys back a measurable amount

of judgement. No one wants to hear that the market will produce another setup after your break. It will. It always does. The scarce resource was never the setups.

Abnormality: the standing override

One meta-decision should sit above the whole loop: the standing instruction to stand down when anything is abnormal. Spread suddenly wide — stand down. Price behaving violently ahead of news you missed — stand down. Platform lagging — stand down. You, personally, angry or foggy or checking your P&L every thirty seconds — stand down. This override outranks every setup, because your process was validated under normal conditions, and its statistics say nothing about abnormal ones. The discipline of not trading is the cheapest skill in this book and, per hour spent practising it, comfortably the most valuable.

Rehearse the override the way you rehearsed the emergency exit in Chapter 6. Say the words out loud if it helps — "abnormal, standing down" — because naming the state makes acting on it easier. And log every stand-down with a one-word reason, exactly as you log trades. Over a month, that column becomes its own education: it shows you which abnormalities recur, which hours produce them, and how often the market you skipped went on to do something you'd have regretted joining.

CHAPTER 7 IN ONE SENTENCE:

High-frequency trading is a high-frequency decision problem, so the scalper survives it by budgeting attention like risk — pre-deciding everything that can be pre-decided, reducing live judgement to a binary checklist gate, imposing rhythm and breaks on the session, and standing down at the first sign of abnormality in the market, the platform or themselves.

Chapter 8 — Tilt, Overtrading and the Scalper's Psychology

Tilt: what it is and why scalping breeds it

Poker players named it, but traders own it just as thoroughly. Tilt is the state in which emotion — usually anger or its politer cousin, urgency — takes over decision-making while leaving you fully convinced you're still being rational. That last clause is the dangerous part. Nobody on tilt feels on tilt. They feel *decisive*.

Every trading format can produce tilt. Scalping manufactures it at industrial scale, for reasons this book has already assembled. The trade cycle is seconds to minutes, so a loss and the chance to "fix it" arrive almost simultaneously — no cooling-off period is built in. Losses cluster, because variance at a 55–65 per cent win rate guarantees streaks. Costs mean you can trade well and still finish down, which feels unjust, and perceived injustice is tilt's favourite fuel. And the sheer decision count of Chapter 7 means you're often meeting your losses with an already-tired brain.

The classic sequence runs: a normal loss, then a slightly rushed re-entry, then a proper loss, then the moment the *goal changes* — from executing the process to getting today's money back. That goal-change is the event to fear. The moment today's P&L becomes the target, the setup card stops being consulted, size starts creeping, and stops become suggestions. Everything after that is expensive.

Know your own tells

Tilt announces itself before it acts, if you know your tells. They differ by person but cluster into recognisable families. Physical: jaw tight, leaning into the screen, clicking between windows with nothing to check. Behavioural: glancing at the P&L figure between every bar; taking a trade within seconds of a stop-out; size "rounding itself up"; the checklist running in half a second flat. Verbal — the internal monologue is remarkably reliable: *it owes me one*, *this one's obvious, no need to check*, *I'll just make back the morning and stop*. Any sentence containing "owes," "deserve," or "back" should set off the alarm.

The professional move is to write your personal tells down — three physical, three behavioural, three phrases — while calm, and post the list where you trade. You will not diagnose tilt from inside tilt; that's precisely what tilt prevents. But you can recognise a written tell the way you recognise your own name, even fogged. The list is a message from calm-you to tilted-you, and it needs writing in advance because tilted-you won't take dictation.



Figure. The same trader in two states: deliberate and process-led versus tired and urgency-driven. The dangerous feature of the second state is that from the inside it feels like decisiveness — which is why tilt defences must be written, mechanical and agreed in advance rather than left to in-the-moment judgement.

Overtrading: tilt's respectable-looking sibling

Overtrading deserves separate billing because it doesn't feel like a malfunction; it feels like work ethic. It's simply taking trades outside your setup — B-grade patterns, revenge entries dressed as opportunities, boredom trades in dead hours — and for a scalper it carries a double penalty that other formats escape. Penalty one: B-grade trades presumably carry less edge, or none. Penalty two, courtesy of Chapter 2: every one of them pays the full toll regardless. An overtrading swing trader dilutes their edge. An overtrading scalper pays a fixed, certain cost to dilute theirs — the tollbooth doesn't care whether the trip was necessary.

The diagnostic is straightforward if your logging is honest. Tag every trade at entry as A (full checklist pass) or B (anything less). Most traders who do this discover the same ugly, liberating fact: their A trades carry whatever edge they have, and their B trades are a fee paid to feel busy. The fix is not willpower in the moment — willpower is exactly what's depleted by then. The fix is structural: a hard trade-count cap per session, and the standing rule that a B-grade doesn't get a smaller size, it gets *no* size. There is no such thing as a discount ticket for a trade you shouldn't take.

Circuit breakers: decide the ending before the film starts

Because tilt disables in-the-moment judgement, the only defences that work are the ones that don't require any. Circuit breakers: written, numeric, agreed with yourself in advance, and — wherever your platform allows — mechanically enforced.

The standard kit. **Consecutive-loss stop:** three stop-outs in a row ends the session or forces a fixed-length break away from the screen — not because three losses prove anything statistically (Chapter 5 showed they don't), but because the *fourth decision after three losses* is where humans reliably fail. **Daily loss limit:** a fixed amount, in money not pips, at which the platform or you shut the session, no appeal, per Chapter 9. **The walk:** after any breaker fires, you physically leave the room for a defined time. Not to another chart. The room.

And one deliberately un-numeric rule, because it catches what the numbers miss: *if you notice yourself negotiating with a rule, the negotiation is the signal.* The moment you hear "just this once" in your own head, the session is over. Calm-you set these tripwires precisely because tilted-you argues well. Let the wire win the argument.

None of this makes tilt disappear; it makes tilt survivable. The scalpers who last aren't the ones who never feel the surge — they're the ones who built a machine around themselves that keeps the surge away from the order ticket.

CHAPTER 8 IN ONE SENTENCE:

Scalping's fast cycle, clustered losses and heavy decision load make it a tilt factory, so the working defences are all pre-committed and mechanical — written personal tells, A/B trade tagging to expose overtrading's double cost, and circuit breakers on consecutive losses and daily loss that end the session before the version of you that argues with rules takes the controls.

Chapter 9 — Daily Limits, Rules and Performance Review

Limits are structure, not punishment

By now the case has built itself: scalping compresses a month's worth of decisions — and potential damage — into single sessions, so the limits that other traders treat as good hygiene, the scalper must treat as load-bearing structure. This chapter assembles the full rulebook and, just as importantly, the review process that keeps it honest.

Start with the non-negotiables, each written as a number, not a mood. A **daily loss limit**: the fixed amount at which the session ends, chosen while calm, sized so that a maximum-loss day is annoying rather than meaningful — many traders anchor it to a small multiple of their per-trade risk, such as three to five R, so one bad session can be repaired by a normal good one. A **trade-count cap**, because Chapter 7 established that attention runs out before the session does, and Chapter 8 established that trades beyond the cap are disproportionately B-grade. A **session window**, opened and closed by the clock, not by how trading is going. A **consecutive-loss breaker**, per Chapter 8. And — less discussed but genuinely useful — a **daily stop-win** or wind-down rule: after an unusually good run, either stop or drop to minimum size, because the euphoric brain and the tilted brain make remarkably similar decisions, just with more confidence.

Write all of it on one page. If your rulebook needs a binder, it won't be consulted at speed; if it fits on a page, it might actually govern.

The log: your only honest witness

Every rule above depends on data, and the data comes from one humble artefact: the trade log. For a scalper the log must be lightweight — one line per trade, filled in during the ten-second reset — or it simply won't happen at thirty trades a session. The working minimum per line: time, direction, A or B grade, planned risk, result in R (the multiple of that planned risk), slippage versus intended price, and a one-word state note (calm, rushed, tired, tilted). Seven fields, ten seconds, no essays.

What the log buys you is protection from the most dangerous storyteller in the building: your own memory. Memory records the dramatic trades; the log records all of them. Memory says the afternoon went badly because of one unlucky sweep; the log says you took nine B-grades after 2pm. Traders who log honestly and review weekly are, in our experience, operating a different sport from traders who don't — not because the log adds edge, but because it stops the silent subtraction of edge going unnoticed.

Reading your results in R — and respecting the sample

Review results in R, not money and not pips, because R is the unit your process actually controls. And when you review, look at distributions, not single numbers. A scalper's month is a histogram: a tall cluster of small losses around −1R, a tall cluster of wins somewhere below +1R (costs, remember, take their slice of every winner), and — critically — whatever lives in the tails.



Figure. An illustrative distribution of scalp outcomes measured in R. The shape tells the story a P&L total hides: disciplined losses cluster tightly at minus one R, costs pull the winners' cluster left of plus one, and any fat left-hand tail of outsized losses marks the rule-breaks — the first thing a weekly review should hunt for.

The left tail is the audit. In a rule-following scalping book, almost nothing should sit beyond −1.5R; every entry that does has a story — slippage through a stop in fast conditions, or a rule broken — and each story gets investigated, because a handful of −4R days can erase a month of well-executed 0.6R winners. The weekly review, thirty minutes on a fixed day, asks five questions: Did I follow the rules (A-grade percentage)? What did the tails cost me? How do results split by hour and by state note? Is slippage stable or creeping? And is the sample big enough yet to conclude *anything* — because twenty trades is weather, and only hundreds are climate.

Monthly, zoom out once more and ask the bigger questions: is the setup's edge, after costs, actually visible in a few hundred trades? Has the market's character shifted — spreads wider, your session quieter — in ways that change the Chapter 2 arithmetic? Adjust rules only at review time, in writing, never mid-session. A rule you can edit while trading isn't a rule; it's a suggestion with a clipboard.

The exit criteria: deciding in advance what failure looks like

We end the course where honest projects end: with pre-committed exit criteria. Before you scalp live at all — and this book's position remains that you shouldn't until a long simulation says otherwise — write down what would make you stop. For example: if after a defined sample of live trades at minimum size, results after costs sit meaningfully below the simulation, or the daily limit is being hit more than rarely, or the state-note column keeps saying "tilted," then the experiment pauses or ends, and you return to a slower format with the education banked.

This isn't defeatism; it's the same precision the title promised, applied to the biggest decision of all. Scalping is a demanding, expensive, psychologically loaded format that a small minority of traders, in the right conditions, operate well. Whether you're in that minority is an empirical question — and you now own every tool needed to answer it: the cost audit, the session data, the one-setup card, the drilled execution, the decision budget, the tilt defences, and the log that tells the truth. Run the experiment properly, respect the numbers it produces, and let the arithmetic — not the adrenaline — have the final word.

CHAPTER 9 IN ONE SENTENCE:

Because scalping compresses a month of risk into single sessions, it must be governed by a one-page rulebook of numeric daily limits, a ten-second-per-trade log reviewed weekly in R with special attention to the left tail, and pre-committed exit criteria — so that continuing, adjusting or abandoning the format is always a decision made by your data rather than your mood.

The One-Page Version

1. **Most people shouldn't scalp.** It's the most expensive format per pip of edge, the most psychologically demanding, and the least forgiving of error; treat that conclusion from your own testing as a success, not a failure.
2. **Know your toll to the decimal.** Add spread, commission and measured slippage into one round-trip cost figure; if it exceeds roughly a fifth of your target, the breakeven arithmetic is already against you — fix the costs or change the format.
3. **Small targets concentrate cost.** A 1.3-pip toll is 2 per cent of a 65-pip target and 26 per cent of a 5-pip one, pushing an equal-stop scalper's breakeven win rate from 50 towards 63 per cent; "quicker, smaller profits" is the beginner's instinct precisely backwards.
4. **Trade one or two major pairs in the busy hours only.** Tightest spreads and most consistent movement cluster in London and the London–New York overlap; verify your own best hours from your log and be completely flat around scheduled news.
5. **Read micro-structure with the 5-minute chart as referee.** Pre-mark a handful of intraday levels, expect stop runs around the obvious ones, place stops beyond the sweep zone, and treat a swept-and-reclaimed level as real information.
6. **One setup, on one card.** Context, location, trigger, orders, invalidation — rehearsed by the hundreds on a simulator until recognition replaces deliberation, with its losing streaks studied in advance so variance can't talk you out of it.
7. **Execution is a drilled physical skill.** Order types pre-chosen to suit the setup, stops attached in the platform at entry, size pre-set, screen stripped to a cockpit, emergency flatten rehearsed until reflexive.
8. **Budget attention like risk.** Cap session length and trade count, pre-decide everything that can be pre-decided, run one binary checklist gate per trade, keep a ten-second reset rhythm, and stand down at any abnormality in the market, the platform or yourself.
9. **Build circuit breakers for a brain you won't have.** Written tilt tells, A/B trade grading, a consecutive-loss stop, a hard daily loss limit in money — all agreed in advance, because tilted-you argues brilliantly and must not be allowed near the rulebook.
10. **Let the log decide.** One line per trade, reviewed weekly in R with the left tail audited first; adjust rules only at review time, and hold pre-written exit criteria that let the data — not the adrenaline — decide whether scalping stays in your life.

Test Yourself — 15 Questions

1. Using this book's strict definition, which of the following is closest to actual scalping?

A) Two carefully chosen trades per day held for several hours B) Ten to forty short-duration trades in a session with small, defined stops and targets C) Holding positions overnight but exiting quickly if they go wrong D) Trading only around major news releases

2. With an illustrative round-trip cost of 1.3 pips, a 5-pip target and a 5-pip stop, the breakeven win rate is approximately:

A) 50 per cent B) 53 per cent C) 63 per cent D) 74 per cent

3. Why does the book call "just take smaller, quicker profits" precisely backwards?

A) Small profits are taxed at a higher rate B) The fixed per-trade toll becomes a larger fraction of a smaller target, worsening the arithmetic C) Brokers reject orders with small targets D) Small targets are harder to calculate

4. Which cost is typically not quoted anywhere by your broker and must be measured from your own fills?

A) Spread B) Commission C) Slippage D) Overnight swap

5. For most scalping approaches on major pairs, the book identifies the most favourable liquidity conditions during:

A) The Asian session B) The hour before London opens C) The London–New York overlap D) The final hour of New York

6. What is the recommended stance on scheduled high-impact news for a small-target scalper?

A) Trade the initial spike for maximum volatility B) Halve position size during the release C) Be flat before the release and wait until spreads demonstrably normalise D) Switch to a wider-spread pair temporarily

7. On the 1- and 5-minute charts, the book's rule for conflicting signals is:

A) The 1-minute chart always wins because it's more current B) The 5-minute chart arbitrates; the 1-minute chart only times entries within its story C) Flip a coin and manage the trade well D) Consult the daily chart before every scalp

8. A stop run (liquidity sweep) is best described as:

A) A broker cancelling stop orders during volatility B) Price piercing an obvious level to trigger clustered stops, then often reversing once they're consumed C) A gradual trend that

never pulls back D) An exchange-mandated trading halt

9. The main operational argument for trading exactly one setup is that it:

A) Guarantees a higher win rate B) Converts each decision into a fast, repeatable binary and builds a large, learnable sample C) Impresses prop firms D) Eliminates losing streaks

10. Why does the book insist a scalper's stop-loss be attached in the platform rather than held mentally?

A) Mental stops are illegal in the UK B) Platform stops always avoid slippage C) On fast timeframes a mental stop becomes a live negotiation with yourself mid-loss D) Brokers offer rebates for attached stops

11. The key trade-off of entering with a limit order at your level is:

A) Guaranteed price but no guaranteed fill B) Guaranteed fill but no guaranteed price C) Higher commission D) It only works during news

12. According to Chapter 7, the two questions that should remain as live, in-the-moment decisions are:

A) "What size?" and "Which pair?" B) "Is this my setup, yes or no?" and "Is anything abnormal?" C) "What's my P&L?" and "What's the news?" D) "Should I widen my stop?" and "Should I double up?"

13. The moment the book identifies as the true beginning of a tilt spiral is when:

A) You take your first loss of the day B) The spread widens C) Your goal shifts from executing the process to winning back today's losses D) You check the economic calendar

14. The double penalty of overtrading for a scalper specifically is that B-grade trades:

A) Carry less edge and still pay the full fixed cost toll B) Are taxed twice C) Always hit their stops D) Widen the spread for everyone

15. In a rule-following scalper's R-distribution, the weekly review should hunt first for:

A) The single biggest winner, to celebrate it B) Outsized losses in the left tail, since each marks slippage or a broken rule that can erase many small winners C) The prettiest chart patterns of the week D) Days with no trades, to eliminate them

Answer Key

1 — B. Scalping means many short-duration trades with small defined stops and targets; a couple of longer holds per day is a different format.

2 — C. Winners net 3.7 pips and losers cost 6.3, so breakeven is 6.3 ÷ (6.3 + 3.7) = 63 per cent — illustrative arithmetic, but the mechanism is general.

3 — B. The toll is fixed in pips, so shrinking the target concentrates cost as a percentage of every trade rather than reducing risk.

4 — C. Slippage — the gap between intended and filled price — appears nowhere on a rate card and is often largest in exactly the fast conditions scalps favour.

5 — C. When London and New York trade simultaneously, liquidity is deepest and spreads and movement are historically most consistent for the majors.

6 — C. Spreads around releases can briefly rival or exceed a scalper's whole target, so the release window is a cost event to avoid, not an opportunity.

7 — B. Low-timeframe signals are noisy, so the 5-minute chart supplies context and settles arguments the 1-minute chart starts.

8 — B. Clustered stops are a pool of guaranteed orders; price frequently sweeps them and reverses, which is why stops belong beyond the sweep zone.

9 — B. Binary recognition survives time pressure and a single setup accumulates a statistically meaningful sample; nothing eliminates streaks or guarantees win rates.

10 — C. In-trade negotiation is precisely what fatigue and tilt exploit; an attached stop removes the conversation entirely.

11 — A. A limit caps entry slippage at zero but may leave you unfilled and missing the trade — a trade-off decided per setup, in advance.

12 — B. Everything else — pair, session, size, orders, limits — should be pre-decided, leaving only the setup check and the abnormality check live.

13 — C. The goal-change from process to P&L recovery is the event after which size creeps, checklists lapse and stops become suggestions.

14 — A. An overtrading swing trader dilutes edge; an overtrading scalper pays a fixed, certain toll on every diluted trade as well.

15 — B. A few −4R rule-breaks can undo a month of disciplined sub-1R winners, so the left tail is audited before anything else is admired.

Appendix — The Glossary, in Plain English

Every term used across Trading Foundry University, explained the way a mate would across a table. 40 terms, no jargon left standing.

Ask
The price you buy at. Always a touch higher than the bid — the gap is the spread.

Base currency
The first currency in a pair. The price says how much of the second one unit of this buys.

Bearish
Expecting a price to fall. The bear swipes down.

Bid
The price you sell at.

Breakout
Price escaping a level it's been stuck under (or over). Real ones keep going; fake ones snap back and take beginners' money with them.

Bullish
Expecting a price to rise. The bull tosses up.

Candlestick
One bar of price history: open, high, low, close, drawn so you can read the fight at a glance.

Central bank
A country's money authority (Bank of England, the Fed). The single biggest force in forex.

Cross
A pair without the US dollar in it, like EUR/GBP.

Drawdown
How far your account has fallen from its peak. The number that decides whether you survive long enough to be right.

Economic calendar
The diary of scheduled news releases — rate decisions, jobs numbers, inflation prints — that move markets.

Entry
The price where your trade opens.

Exotic
A major currency paired with a smaller economy's. Wide spreads, sudden moves — not a beginner's playground.

Fill
The actual price your order executed at, which is not always the price you asked for.

Fundamentals
The economic story behind a currency: growth, inflation, interest rates, politics.

Going long
Buying — profiting if the price rises.

Going short
Selling first — profiting if the price falls. Completely normal in forex.

Leverage
Trading with more exposure than your deposit. Multiplies both directions — the loaded word in retail trading.

Liquidity
How easily you can trade without moving the price. Majors have oceans of it; exotics have puddles.

Lot
A standard position size: 100,000 units of the base currency. Minis (10k) and micros (1k) exist for sane humans.

Major
A heavyweight dollar pair: EUR/USD, GBP/USD, USD/JPY and friends. Tightest costs, deepest markets.

Margin
The deposit your broker holds while a leveraged trade is open.

Margin call
The broker telling you your account can no longer support your open trades. You never want the call.

Pip
The market's inch — the standard unit of price movement, usually the fourth decimal place.

Pipette
A tenth of a pip. Fine print.

Position sizing
Deciding how much to trade so a normal loss stays boring. The most underrated skill in the game.

Quote currency
The second currency in a pair — the one the price is counted in.

R-multiple
Profit or loss measured in units of what you risked. Risked £50, made £100 — that's +2R. The only honest scoreboard.

Range
A market bouncing between a floor and a ceiling, going nowhere with enthusiasm.

Resistance
A ceiling where selling has repeatedly shown up.

Retest
Price returning to a broken level to check it holds from the other side. The polite entry.

Risk-reward
What you stand to make versus what you're risking. 2:1 means the win pays double the loss.

Slippage
The difference between the price you wanted and the price you got, usually in fast markets.

Spread
The gap between bid and ask — the cost of every trade, paid on the way in.

Stop loss
The pre-set exit that caps a loss when the idea is proven wrong. Non-negotiable in our book.

Support
A floor where buying has repeatedly shown up. The market's memory.

Swap
The small overnight charge (or credit) for holding a position, driven by interest-rate gaps.

Take profit
The pre-set exit that banks the win at your target.

Trend
The market's prevailing direction — higher highs and higher lows up, the mirror down.

Volatility
How violently a market moves. Opportunity and danger are the same number.

Continue Your Journey

This book is Playbook 12 of 15 in Trading Foundry University. Everything below is free:

- **The films** — complete strategy guides on YouTube: **youtube.com/@thetradingfoundry**.
- **The Trading School** — structured lessons and quizzes: pip-insight.co.uk/school.
- **The Foundry Journal** — log every trade, track your equity curve and discipline: pip-insight.co.uk/journal. Your data never leaves your device.
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